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US IT Services

All Eyes on Outlook

CITI'S TAKE

Valuations across the IT Services space have materially come in following instances of slipped bookings, more delayed decision making, and continued pricing pressure due to GenAI, but we believe that 2Q organic revenue growth should be in-line with guidance for the digital engineering focused players EPAM and GLOB. Thematically, discretionary spend has yet to unlock and AI has yet to drive any noticeable acceleration (mostly pressure), with 2H26 outlooks now in focus and investors wondering how much needs to be cut on the annual guidance. As for the FY26 Y/Y organic CC revenue growth guidance ranges, we estimate EPAM to slightly cut to 2-4% (vs 2.5-5% prior) and for GLOB to slightly cut to -0.7-1.2% (vs 0.3-2.2% prior). We remain Neutral on EPAM (reports 8/6), trimming our PT to \$100, and Neutral/HR on GLOB (estimated to report 8/13), trimming our PT to \$37, both due to falling peer multiples.

Short Duration Discretionary Demand Must Overcome Unfavorable Near Term Operating Environment. Thematically, EPAM and GLOB are both major digital engineering focused IT services providers that in our view should be approaching their respective troughs in near term revenue growth rates. Guidance from both companies suggest a 2H acceleration over 1H performance, but we think that more evidence of stability will need to surface before valuation multiples can expand to more normalized levels.

Bryan Keane^{AC}

+1415-658-4236
bryan.keane@citi.com

William Tang

+1-212-816-8743
william1.tang@citi.com

Adam Butler, CFA

+1-212-816-5181
adam.butler@citi.com

Payments, Processors & IT Services

															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
EPAM Systems, Inc.	EPAM	US\$	89.85	4,694	24 Jul 16:00	2	nc	-	112.00	100.00	11.3	0.0	11.3	Dec-25	13.05	nc	14.50	nc
Globant SA	GLOB	US\$	31.30	1,352	24 Jul 16:00	2H	nc	-	42.00	37.00	18.2	0.0	18.2	Dec-25	6.21	nc	6.63	nc

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk
Source: Citi Research

ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change
^Catalyst Watch

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Earnings Estimates

Company Name	Ticker	Last Rpt Year	Currency	Last Reported Year					Current Fiscal Year					Next Fiscal Year				
				1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
EPAM Systems, Inc.	EPAM	Dec-25	US\$	2.41	2.77	3.08	3.26	11.50	2.86	3.15	3.45	3.59	13.05	3.20	3.44	3.92	3.95	14.50
Globant SA	GLOB	Dec-25	US\$	1.50	1.53	1.53	1.54	6.13	1.50	1.51	1.58	1.62	6.21	1.51	1.62	1.72	1.78	6.63

Source: Citi Research

■ **EPAM: Unexpected Exogenous Headwinds Continue to Mute '26 Growth.**

EPAM entered YE25 anticipating that organic growth could accelerate in 2026 vs in 2025, but encountered material unexpected headwinds that continue to impact the business. For example, on the 4Q25 earnings call, EPAM announced that NEORIS's largest client (headquartered in Mexico) decided to pull back on IT services spend at least in part due to challenges created by the impact of US tariffs. By the 1Q26 earnings call (ie across April and early May), EPAM began seeing increased delays in client decision making due to turmoil in the Middle East, and so consequently reduced the annual growth guide. We believe that while EPAM remains a valuable and differentiated services provider, the company needs to either demonstrate it can take share faster (and therefore overcome the various macro headwinds) or provide evidence that go-forward demand realization can improve (eg via accelerating TCV bookings growth or improving existing customer sentiment in decision making).

- We note that given 1Q26 organic CC growth of 3.7% Y/Y, and 2Q's guide of 2.7% at the midpoint, 2H26 revenues need to rise 4.4% to hit the midpoint of the FY26 guide, suggesting 2H acceleration. We believe that constructive commentary from the company at 2Q earnings should help support a near term floor for valuation, but anticipate that investors will wait until 3Q earnings before leaning either way with more conviction.

■ **GLOB: Large Accounts Resilient Above the Rest.** While GLOB's Data & AI digital studio continues to see strong revenue growth (25%+ in 1Q26) relative to the consolidated business, the company's critical Engineering studio is growing only MSD. Looking at revenue growth by client sizing in 1Q26, the top 50 powered revenue growth of 5.2%, the top 10 powered growth of 4%, and the top 2 to 5 cohort powered growth of 8.2%. We infer then that many of GLOB's smaller and arguably newer clients are likely demonstrating continued reservation regarding an unlocking of discretionary spend. For the time being then, we believe that GLOB may find the operating environment to be particularly difficult as it relates to making progress towards the company's longer term "100 squared" objective.

- Having grown revenues -2.7% Y/Y organic CC in 1Q26, and guiding for 2Q and annual performance of -1.2% and 1.2% respectively, at the midpoint, we calculate that 2H revenue growth is implied to accelerate to 4.3%. We believe part of the sharp sequential increase in growth rate stems from easier Y/Y comps (4Q25 growth was -6.5%), but new large deals that have already been signed should begin to bill as well. Finally, GLOB's AI Pods initiative should modestly add to consolidated growth too as TCV scales there.

Revenue per Headcount Rising: Going Offensive with Newfound Capabilities. As the industry increasingly shifts to outcome based delivery and emphasizes AI-native talent to help drive both the demand for automated/autonomous workflows and the rising need for increased internal productivity (from the IT service provider's perspective), we believe that nimble digital engineering organizations like EPAM and GLOB should be best positioned to capitalize on the changing economics and contractual models of the space.

■ **EPAM: Focused on Recruiting AI-Native Talent, Driving Stronger Effective Bill Rates.** We believe that AI-led productivity and an increased prevalence of fixed price type contracts (rising consistently from 15.1% of revenues in 1Q24 to 21.7% in 1Q26) has supported positive revenue per headcount growth for 4 consecutive

quarters at EPAM. Operationally, while industry level like-for-like AI-driven pricing pressure acts as a headwind, engineers who effectively utilize GenAI for fulfillment are able to complete more projects in a given amount of time, thus driving stronger revenue per headcount metrics, in our view. Given that EPAM stands at total headcount of ~63K globally, we think that the modest size (especially relative to several major peers) combined with a strong heritage of engineering excellence should allow the company to adapt quickly in the changing landscape.

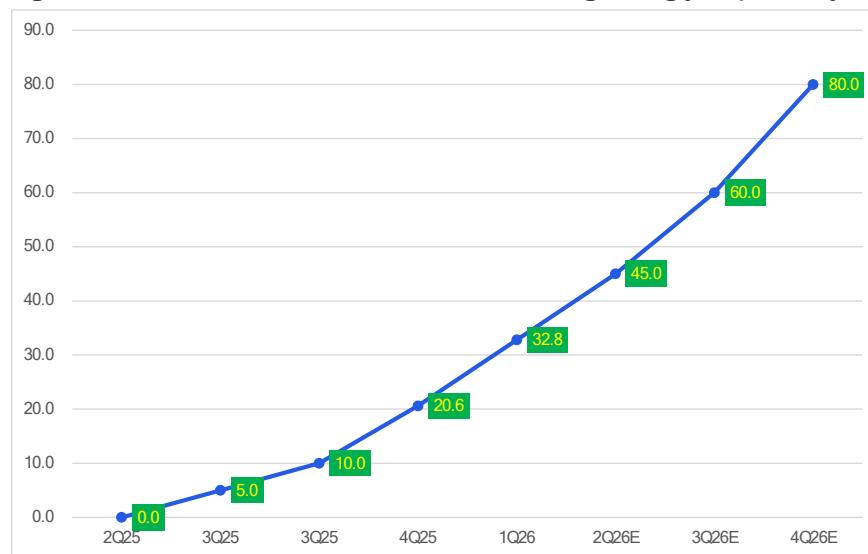
- **GLOB: Sustained Rising Revenue per Headcount Supports Medium Term Growth Acceleration.** GLOB has been able to sustain its recent growth in revenue per employee (up 8% Y/Y in 1Q26; ~\$90K) for 4 consecutive quarters, partly because of the company's steady but consistent expansion of its AI Pods initiative, in our view. Additionally, we think that the organization's focus on realizing delivery productivity ahead of levels seen at peers gives the company an edge to grow top line faster, all else equal. The rising mix shift to fixed price type contracts (30% in 1Q26 vs ~25% in 1Q24) should also create opportunity for incremental revenue per headcount growth. We believe that if GLOB can continue to take share in the nascent but growing AI-based TAM, the company stands to accelerate growth to more normalized levels medium term, potentially sooner and more aggressively than larger peers.

New TAM To Help Longer Term: Whether AI-Enabled Consolidation Deals or AI-Native Recurring Revenue Implementations.

- **EPAM: Extending Engineering Excellence into AI-Based Consolidations.** While EPAM has a strong legacy in executing on shorter duration, smaller scale projects, we believe that rising customer demand for vendor consolidation of systems on the AI front present an incremental opportunity that EPAM previously didn't have. Specifically, we think that EPAM stands to win share in a new category of multi-year-large deals whose focus is to consolidate AI-based transformation under one vendor.
 - YTD, EPAM has talked about 10 such initial client engagements that the company hopes to win later this year. While EPAM can hit the midpoint of the annual revenue guidance range without winning any of these deals, winning just 1 or 2 should push the company into the higher half. We believe that winning several more should be enough to allow EPAM to approach the higher end of the guided range.
- **GLOB: AI Pods Creating New Engagement with Customer Accounts.** We believe that GLOB is engaging with customers via new channels in order to better monetize the specific opportunities that demand for GenAI technology is creating. For example, the company is leaning into annual recurring revenue (~\$33 mln in 1Q26) stemming from its AI Pods model, wherein AI-native service units with task and industry expertise bill based on outcomes as opposed to effort (ie using tokens to track client consumption). The "forward deployed" engineers lead the enablement by integrating the AI Pods capability into customer venues/systems, providing onsite execution and support. In particular, GLOB has already incorporated their new AI Pods business model into 40% of their top 20 revenue-generating accounts, up from 30% in 4Q25, with a longer term goal of 70% penetration in that cohort of accounts.

- We think that client specific AI-based integration and use cases should be uniquely proprietary vs more traditional IT services work (even when compared to demand in the realm of digital engineering) such that service models must adapt in order to remain competitive. More specifically, we anticipate that a blend of advanced consulting experience and AI-native execution talent must come together, rather than kept separate, in such cases to fully realize GenAI's latent potential to the customer

Figure 1. GLOB's ARR from the AI Pods Model Is Rising Strongly Sequentially



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Source: Citi Research, GLOB Company Disclosures

Gross Margins Structurally Supported by Increased AI Efficiencies. While we believe that pricing compression from new/renewed deals should continue to act as a headwind to margins, we think that continued realization of AI-based efficiencies internally at IT services providers can offset, particularly as an increasingly large AI-native talent base begins to more skillfully utilize the new technology and move the needle.

- **EPAM: GM Inflecting Upwards Both Y/Y and Q/Q.** EPAM demonstrated Y/Y expansion in adj. gross margins in 1Q26 (+70 bps), driven by what we think is a combination of increased operating focus on improving profitability across critical geos (eg India, Western Central Asia, and Latam), continued success in realizing internal gains via AI adoption, and a lapping of the recent major Neoris acquisition. Although EPAM typically experiences sequential GM strength across the year, driven largely due to seasonality (eg billing days), we think that 2026 should see a rising momentum in Y/Y strength as well, particularly as the foundation for further GM expansion is set for 2027 and beyond (largely due to pyramid recalibration, supported by enhanced utilization, and further AI associated productivity benefits).
 - While disclosures have been more limited, EPAM's AI-native business is delivering profitability above the company's average, and we think that over time, as demand and realization scales, EPAM's margins should begin to feel tailwinds from the favorable mix shift.

- **GLOB: GM Weighed by Unfavorable FX, but AI Pods Initiatives Should Provide Longer Term Tailwinds.** GLOB sources much of its technical talent from Latam (66% total), with 18% of total heads coming from Argentina; 22% from Colombia; 26% from other Latam; 17% from India; and 17% from North America, Europe, MENA & APAC. In recent times, the Mexican peso, the Colombian peso, and the Brazilian real in particular are seeing Y/Y strengthening relative to the USD, which hurts GLOB's GM profile all else equal, given that operating costs effectively rise. Note that revenues are expected to feel a 100 bps annual tailwind due to weakening of the USD relative to currencies in international markets in which GLOB performs fulfillment (eg Mexico, Colombia, and Brazil).

Figure 2. Stronger Latam Currencies Imply both Revenue Growth Tailwinds and Gross Margin Pressure for GLOB

	2Q26 Y/Y Change (XXX/USD)
MXN	-10.9%
COP	-14.1%
BRL	-10.9%

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Source: Citi Research, FactSet, GLOB Company Disclosures

- From a structural perspective, we would emphasize that gross margins in GLOB's AI Pods initiative are materially higher than that of the consolidated company's (disclosed at 45–60% vs consolidated GM at ~38%), and so we would expect longer term tailwinds from the beneficial mix shift that is taking place (AI Pods annual recurring revenue guided to rise ~290% Y/Y at the midpoint (ie \$60–100 mln in ARR in FY26) vs consolidated revenues guided to rise ~0% organic CC in FY26).

2Q26 Preview. We anticipate a largely in-line quarter for both EPAM and GLOB in 2Q. Although we sense that both companies guided with realistic assessments of the unfavorable macro, we believe that the operating environment did not materially improve in 2Q to effect notable outperformance.

- **EPAM.** For EPAM, we model organic CC Y/Y revenue growth of 2.7%, Adj. EBIT margins of 15.4%, and Adj. EPS of \$3.15.
- **GLOB.** For GLOB, we model organic CC Y/Y revenue growth of -1.2%, Adj. EBIT margins of 14.4%, and Adj. EPS of \$1.51.

Guidance Thoughts on FY26:

- **EPAM.** We believe that the company will modestly lower the guide for annual organic CC Y/Y revenue growth (2–4% vs 2.5–5% prior), reiterate Adj. EBIT margins (15–16%), and lower the guide for Adj. diluted EPS (\$12.92–\$13.16 vs \$12.98–\$13.28 prior).
- **GLOB.** We believe that the company will modestly lower the guide for annual organic CC Y/Y revenue growth (-0.7–1.2% vs 0.3–2.2% prior), reiterate Adj. EBIT margins (14–15%), and lower the guide for Adj. diluted EPS (\$6.04–\$6.44 vs \$6.10–\$6.50 prior)

Figure 3. EPAM: Citi vs Consensus

	2Q26					3Q26E		4Q26E		2026E				
	Low Outlook	High Outlook	Mid Outlook	Citi Est.	Cons.	Citi Est.	Cons.	Citi Est.	Cons.	Low Outlook	High Outlook	Mid Outlook	Citi Est.	Cons.
Revenues	1,400	1,415	1,408	1,408	1,407	1,472	1,445	1,485	1,469	5,675	5,812	5,744	5,765	5,722
Y/Y growth	3.4%	4.5%	4.0%	4.0%	4.0%	5.8%	3.7%	5.5%	4.4%	4.0%	6.5%	5.3%	5.5%	4.9%
FX (headwind)/tailwind				1.3%	1.3%	0.5%	0.5%	0.3%	0.3%				1.5%	1.5%
Inorganic Impact				0.0%	0.0%	0.0%	0.0%	0.0%	0.0%				0.0%	0.0%
Y/Y Organic CC growth			2.7%	2.7%	2.7%	5.1%	3.2%	5.2%	4.1%	2.5%	5.0%	3.8%	4.1%	3.4%
Adj. Gross Profit				437	432	472	459	488	473				1,808	1,776
Adj. GP margin				31.0%	30.7%	32.1%	31.8%	32.8%	32.2%				31.4%	31.0%
Y/Y expansion (bps)				89 bps	59 bps	101 bps	74 bps	110 bps	43 bps	Expansion Y/Y 91 bps 58 bps				
Adj. Operating Income				218	217	233	232	238	240				889	890
Adj. Operating Margin	15.0%	16.0%	15.5%	15.4%	15.4%	15.8%	16.1%	16.0%	16.4%	15.0%	16.0%	15.5%	15.4%	15.6%
Y/Y expansion (bps)	1 bps	101 bps	51 bps	45 bps	43 bps	-17 bps	9 bps	-30 bps	2 bps	-24 bps	76 bps	26 bps	19 bps	32 bps
Adj. EPS	\$3.10	\$3.18	\$3.14	\$3.15	\$3.14	\$3.45	\$3.44	\$3.59	\$3.60	\$12.98	\$13.28	\$13.13	\$13.05	\$13.03
Y/Y growth	11.8%	14.7%	13.2%	13.7%	13.3%	12.2%	11.8%	10.3%	10.7%	12.9%	15.5%	14.2%	13.4%	13.3%
Operational KPI's														
Total Headcount (absolute units)				63,550	62,778	63,750	63,155	63,950	63,794				63,050	63,794
Q/Q growth				1.3%	0.0%	0.3%	0.6%	0.3%	1.0%				1.2%	0.9%
Y/Y growth				2.4%	1.2%	2.2%	1.3%	1.8%	1.5%				1.8%	1.5%
Revenue/Head (USD, quarterly)				22,149	22,412	23,097	22,887	23,221	23,034				90,150	89,691
Y/Y Growth				1.5%	2.8%	3.3%	2.3%	3.7%	2.9%				3.8%	3.3%

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Source: Citi Research, Visible Alpha

Figure 4. GLOB: Citi vs Consensus

	2Q26E					3Q26E		4Q26E		2026E				
	Low	High	Mid Outlook	Citi Est.	Cons.	Citi Est.	Cons.	Citi Est.	Cons.	Low	High	Mid Outlook	Citi Est.	Cons.
Revenues	610	616	613	613	613	627	625	637	633	2,462	2,508	2,485	2,484	2,478
Y/Y growth	-0.7%	0.3%	-0.2%	-0.2%	-0.2%	1.7%	1.3%	4.0%	3.3%	0.3%	2.2%	1.2%	1.2%	0.9%
FX (headwind)/tailwind	1.0%	1.0%	1.5%	1.0%	1.0%	0.5%	0.5%	0.5%	0.5%	1.0%	1.0%	1.0%	1.0%	1.0%
Inorganic Impact	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Y/Y CC growth	-1.7%	-0.7%	-1.7%	-1.2%	-1.2%	1.2%	0.8%	3.5%	2.8%	-0.7%	1.2%	0.2%	0.2%	-0.1%
Adj. Gross Profit				229	229	234	234	237	237				923	924
Adj. Gross Margin				37.3%	37.4%	37.3%	37.4%	37.2%	37.4%				37.2%	37.3%
Y/Y expansion (bps)				-85 bps	-69 bps	-80 bps	-67 bps	-40 bps	-12 bps				-77 bps	-62 bps
Adj. Operating Income	85	92	89	89	88	92	91	93	93	345	376	360	359	357
Adj. Operating Margin	14.0%	15.0%	14.5%	14.4%	14.3%	14.7%	14.5%	14.6%	14.8%	14.0%	15.0%	14.5%	14.5%	14.4%
Y/Y expansion (bps)	-100 bps	+0 bps	-50 bps	-55 bps	-70 bps	-82 bps	-95 bps	-88 bps	-76 bps	-121 bps	-21 bps	-71 bps	-74 bps	-70 bps
Adj. EPS	\$1.45	\$1.55	\$1.50	\$1.51	\$1.50	\$1.58	\$1.58	\$1.62	\$1.62	\$6.10	\$6.50	\$6.30	\$6.21	\$6.19
Y/Y growth	(5.3%)	1.3%	(2.0%)	(2%)	(2%)	3%	3%	5%	5%	(0.5%)	6.0%	2.7%	1%	1%
Operational KPI's														
Total Headcount				28,624	29,670	28,739	28,433	28,853	NA				28,853	28,487
Y/Y growth				-4.9%	-1.4%	-1.0%	-2.0%	0.3%	NA				0.3%	-1.0%
Rev / Head (simple method, \$ thousands)				85.7	85.9	87.3	88.0	88.3	88.8				86.1	87.0
Y/Y growth				4.9%	-99.9%	2.6%	3.4%	3.7%	4.3%				0.9%	1.9%

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Source: Citi Research, Visible Alpha

EPAM.N: Fiscal year end 31-Dec						Price: US\$89.85; TP: US\$100.00; Market Cap: US\$4,694m; Recomm: Neutral					
Profit & Loss (US\$ <i>k</i>)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	4,727,940	5,457,056	5,765,063	6,154,579	6,582,793	PE (x)	8.3	7.8	6.9	6.2	5.7
Cost of sales	-3,277,497	-3,883,535	-4,049,267	-4,310,694	-4,587,369	PB (x)	1.4	1.4	1.5	1.3	1.2
Gross profit	1,450,443	1,573,521	1,715,796	1,843,885	1,995,424	EV/EBITDA (x)	3.6	3.9	3.8	3.4	2.8
Gross Margin (%)	30.7	28.8	29.8	30.0	30.3	FCF yield (%)	10.1	12.1	9.1	15.0	16.0
EBITDA (Adj)	839,293	884,939	950,422	1,022,277	1,063,972	Dividend yield (%)	na	na	na	na	na
EBITDA Margin (Adj) (%)	17.8	16.2	16.5	16.6	16.2	Payout ratio (%)	0	0	0	0	0
Depreciation	-60,084	-53,444	-58,569	-68,892	-67,145	ROE (%)	12.8	10.3	12.2	13.3	12.2
Amortisation	-29,475	-71,367	-69,000	-68,000	-68,000	Cashflow (US\$ <i>k</i>)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	779,209	831,495	889,121	980,090	1,055,689	EBITDA	634,143	644,814	724,023	816,035	843,382
EBIT Margin (Adj) (%)	16.5	15.2	15.4	15.9	16.0	Working capital	-127,313	-19,139	-284,958	-92,189	-80,372
Net interest	46,876	11,546	8,582	2,800	3,000	Other	52,338	29,259	40,679	28,057	34,836
Associates	0	0	0	0	0	Operating cashflow	559,168	654,934	479,745	751,903	797,847
Non-Op/Except/Other Adj	-241,673	-337,417	-299,369	-302,947	-349,451	Capex	-32,146	-42,243	-48,614	-51,907	-55,531
Pre-tax profit	584,412	505,624	598,334	679,943	709,238	Net acq/disposals	-912,158	-3,432	0	0	0
Tax	-129,879	-127,946	-162,599	-178,984	-186,753	Other	59,324	-3,372	0	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	0	Investing cashflow	-884,980	-49,047	-48,614	-51,907	-55,531
Reported net profit	454,533	377,678	435,735	500,959	522,484	Dividends paid	0	0	0	0	0
Net Margin (%)	9.6	6.9	7.6	8.1	7.9	Financing cashflow	-390,407	-651,200	-666,678	-156,160	-155,714
Core NPAT	629,963	646,809	687,472	752,289	811,334	Net change in cash	-752,716	10,985	-235,548	543,837	586,602
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	527,022	612,691	431,131	699,996	742,316
Reported EPS (\$)	7.84	6.72	8.27	9.66	10.11						
Core EPS (\$)	10.86	11.50	13.05	14.50	15.70						
DPS (\$)	0	0	0	0	0						
CFPS (\$)	9.64	11.65	9.10	14.49	15.44						
FCFPS (\$)	9.09	10.89	8.18	13.49	14.37						
BVPS (\$)	64.20	63.92	59.61	67.54	74.83						
Wtd avg ord shares (k)	57,290	55,900	52,306	51,485	51,285						
Wtd avg diluted shares (k)	57,985	56,239	52,696	51,875	51,675						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	0.8	15.4	5.6	6.8	7.0						
EBIT (Adj) (%)	1.8	6.7	6.9	10.2	7.7						
Core NPAT (%)	0.7	2.7	6.3	9.4	7.8						
Core EPS (%)	2.6	5.9	13.4	11.2	8.3						
Balance Sheet (US\$ <i>k</i>)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	1,286,267	1,296,077	1,065,829	1,609,666	2,196,268						
Accounts receivables	1,002,175	1,108,201	1,158,598	1,239,699	1,331,437						
Inventory	0	0	0	0	0						
Net fixed & other tangibles	706,232	751,098	749,976	736,615	669,471						
Goodwill & intangibles	1,617,993	1,617,150	1,539,305	1,471,305	1,403,305						
Financial & other assets	137,806	129,610	158,126	169,195	180,922						
Total assets	4,750,473	4,902,136	4,671,834	5,226,481	5,781,403						
Accounts payable	44,702	55,329	56,053	59,977	64,134						
Short-term debt	0	0	0	0	0						
Long-term debt	25,194	25,034	165,000	165,000	165,000						
Provisions & other liab	1,049,426	1,143,965	961,231	980,488	1,022,624						
Total liabilities	1,119,322	1,224,328	1,182,284	1,205,465	1,251,758						
Shareholders' equity	3,629,211	3,677,226	3,488,969	4,020,434	4,529,063						
Minority interests	1,940	582	582	582	582						
Total equity	3,631,151	3,677,808	3,489,551	4,021,016	4,529,645						
Net debt (Adj)	-1,261,073	-1,271,043	-900,829	-1,444,666	-2,031,268						
Net debt to equity (Adj) (%)	-34.7	-34.6	-25.8	-35.9	-44.8						

For definitions of the items in this table, please click [here](#).

GLOB.N: Fiscal year end 31-Dec						Price: US\$31.30; TP: US\$37.00; Market Cap: US\$1,352m; Recomm: Neutral/High Risk					
Profit & Loss (US\$'k)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	2,416	2,455	2,484	2,621	2,802	PE (x)	4.9	5.1	5.0	4.7	4.4
Cost of sales	-1,552	-1,596	-1,631	-1,715	-1,829	PB (x)	0.7	0.7	0.6	0.6	0.5
Gross profit	863	859	853	906	973	EV/EBITDA (x)	na	na	na	na	na
Gross Margin (%)	35.7	35.0	34.3	34.6	34.7	FCF yield (%)	9.7	15.0	16.0	21.9	23.3
EBITDA (Adj)	450	414	462	500	542	Dividend yield (%)	na	na	na	na	na
EBITDA Margin (Adj) (%)	18.6	16.9	18.6	19.1	19.3	Payout ratio (%)	0	0	0	0	0
Depreciation	-136	-161	-157	-163	-172	ROE (%)	9.0	5.1	6.8	6.9	6.7
Amortisation	0	0	0	0	0	Cashflow (US\$'k)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	371	373	359	388	422	EBITDA	362	333	379	414	449
EBIT Margin (Adj) (%)	15.4	15.2	14.5	14.8	15.1	Working capital	-151	-38	-97	-34	-41
Net interest	-27	-35	-27	-24	-25	Other	38	7	24	12	9
Associates	0	0	0	0	0	Operating cashflow	249	301	307	392	417
Non-Op/Except/Other Adj	-134	-199	-128	-134	-142	Capex	-114	-89	-93	-105	-112
Pre-tax profit	210	139	204	229	255	Net acq/disposals	-945	-98	-74	-64	-64
Tax	-41	-35	-46	-52	-59	Other	655	53	53	53	53
Extraord./Min.Int./Pref.div.	-3	-1	-8	-9	-10	Investing cashflow	-404	-135	-114	-116	-123
Reported net profit	166	103	150	169	186	Dividends paid	0	0	0	0	0
Net Margin (%)	6.9	4.2	6.0	6.4	6.7	Financing cashflow	-6	-65	-91	-15	-15
Core NPAT	285	276	265	278	298	Net change in cash	-165	102	102	261	279
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	135	212	213	287	305
Reported EPS (\$)	3.73	2.29	3.52	4.02	4.47						
Core EPS (\$)	6.42	6.13	6.21	6.63	7.14						
DPS (\$)	0	0	0	0	0						
CFPS (\$)	5.59	6.69	7.19	9.34	9.99						
FCFPS (\$)	3.04	4.70	5.00	6.84	7.30						
BVPS (\$)	45.25	47.22	51.08	56.69	62.77						
Wtd avg ord shares (k)	43.4	44.3	44.9	46.0	47.1						
Wtd avg diluted shares (k)	44.5	45.0	42.7	41.9	41.7						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	15.3	1.6	1.2	5.5	6.9						
EBIT (Adj) (%)	16.8	0.5	-3.8	7.9	8.8						
Core NPAT (%)	14.1	-3.3	-3.9	4.9	7.1						
Core EPS (%)	11.8	-4.5	1.3	6.7	7.6						
Balance Sheet (US\$'k)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	156	250	351	612	891						
Accounts receivables	605	578	638	671	719						
Inventory	0	0	0	0	0						
Net fixed & other tangibles	201	172	208	218	230						
Goodwill & intangibles	2,002	2,048	1,965	1,980	2,000						
Financial & other assets	203	271	187	195	208						
Total assets	3,167	3,318	3,349	3,675	4,048						
Accounts payable	115	113	114	116	124						
Short-term debt	2	20	20	20	20						
Long-term debt	291	347	342	342	342						
Provisions & other liab	726	677	510	521	536						
Total liabilities	1,133	1,157	986	999	1,023						
Shareholders' equity	1,964	2,094	2,294	2,607	2,957						
Minority interests	69	68	69	69	69						
Total equity	2,033	2,162	2,363	2,676	3,025						
Net debt (Adj)	136	116	11	-250	-529						
Net debt to equity (Adj) (%)	6.7	5.4	0.5	-9.4	-17.5						

For definitions of the items in this table, please click [here](#).

Bull/Bear: EPAM Systems, Inc. (EPAM.N)

US\$ **190.00**
▲ 111% Upside

US\$ **100.00**
▲ 11% Upside

US\$ **90.00**
▲ 0.2% Upside



Spread 111pp
Current Price and expected returns (upside/downside) as of 24 Jul 2026

BULL Assumptions

- Organic constant-currency revenue growth in the HSDs
- Gross profit margin and adjusted EBITDA margin expansion
- Steady adjusted diluted EPS growth

BASE Assumptions

- Organic constant-currency revenue growth stable-to-mid single digits
- Gross profit margin and adjusted EBITDA margin stability
- Steady adjusted diluted EPS YoY

BEAR Assumptions

- Organic constant-currency revenue YoY declines
- Gross profit margin and adjusted EBITDA margin contraction
- Adjusted diluted EPS down YoY

Bull/Bear: Globant SA (GLOB.N)

US\$ **100.00**



▲ 219% Upside

US\$ **37.00**



▲ 18% Upside

US\$ **28.00**



▼ 11% Downside

US\$

102

85

68

51

34

17

Jul 25

Oct 25

Jul 26

Jul 27

24 Jul 26
US\$31.30

US\$100.00

US\$37.00

US\$28.00

Spread 230pp

Current Price and expected returns (upside/downside) as of 24 Jul 2026

BULL Assumptions



- MSD revenue growth
- Better adjusted gross profit and adjusted EBITDA margins
- Adjusted diluted EPS growth

BASE Assumptions



- Low single-digit revenue growth
- Stable adjusted gross profit and adjusted EBITDA margins
- Adjusted diluted EPS stability

BEAR Assumptions



- Revenue down YoY
- Adjusted gross profit and adjusted EBITDA margins down
- Adjusted diluted EPS declines

EPAM Systems, Inc.

Company description

EPAM Systems is a global digital engineer and cloud and AI-enabled service provider, with capabilities including software engineering, consulting, experience design, cloud, cybersecurity, data and product development for companies of all sizes. EPAM is known for its deep engineering capabilities and employs over 60k people worldwide, with experience servicing clients in the financial services, consumer goods, technology, life sciences, and healthcare verticals. EPAM is a higher-end IT services provider, and sits in a position to service cloud adoption, digital transformation and AI integration.

Investment strategy

We have a Neutral rating on EPAM. We view EPAM as a leading digital transformation provider, with a growing emphasis on genAI, genAI infrastructure implementation, and cloud migration. EPAM's bench is technically sound with deep expertise. We believe EPAM represents an opportunity to investment in demand for digital transformation and higher-value IT services, as well as a growing exposure to AI-focused business transformations. However, we view EPAM's risk-reward as fairly balanced at its current valuation.

Valuation

We value EPAM based on P/E and consider our FY27 estimates. Our price target of \$100 implies a 6.9x multiple on our FY27 adjusted EPS estimate.

Risks

Risks to the target price include: Geopolitical and operational risks, margin and competitive pressures, and M&A integration. If these risks are less than we expect, the stock could exceed our target price.

Globant SA

Company description

Globant is a global digital engineer helping companies accelerate digital transformations, with services including software engineering, AI-powered solutions, automation, and digital marketing. Globant positions itself and its capabilities at the cross-section of technology and creativity, and has 30K+ employees across 35+ countries. Globant provides IT services to clients across a broad range of verticals, including financial services, healthcare, media, retail and gaming. GLOB's emphasis on AI pods and a subscription-style service model reflect its strategy to capture recurring revenue in digital engineering.

Investment strategy

We have a Neutral / High Risk rating on GLOB. We view GLOB as a globally scaled digital engineering company that combines its technological expertise with AI and creativity. Its rollout of the AI pod model represents a reinvention

of IT services delivery through a subscription model approach, and represents opportunity to invest in the new idea. While growth has been softer and execution risk is a major theme in the story, we believe its valuation is relatively balanced with the shares' recent performance.

Valuation

We value GLOB based on P/E and consider our FY27 EPS estimate. Our price target of \$37 implies 5.6x our FY27 adjusted EPS due to lower peer multiples.

Risks

We assign a High Risk rating to GLOB given perceived volatility due to outlook visibility, competitive and pricing pressures, and macro, FX, and headcount risks.

Risks that could lead the stock to deviate from our target price include macro conditions, FX movements and headcount risk. The company is also subject to uncertainty stemming from growth outlook visibility, competition and pricing pressures.

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Appendix A-1

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IMPORTANT DISCLOSURES

EPAM Systems, Inc. (EPAM)

Ratings and Target Price History
Fundamental Research

Analyst: Bryan Keane



	Date	Rating	Target Price	Closing Price
1	25-Jul-23 04:58:13	2H	*240.00	234.43
2	03-Aug-23 16:53:57	2H	*270.00	245.02
3	02-Nov-23 18:23:25	2H	*250.00	232.31
4	16-Jan-24 18:37:35	2H	*312.00	300.17
5	15-Feb-24 15:18:29	2H	*325.00	301.20

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	21-Apr-24 19:00:14	2H	*275.00	245.96
7	09-May-24 19:20:22	2H	*207.00	181.93
8	28-Oct-24 06:49:44	2H	*210.00	191.29
9	07-Nov-24 16:19:32	2H	*250.00	232.92
10	03-Dec-24 16:09:11	Coverage terminated		

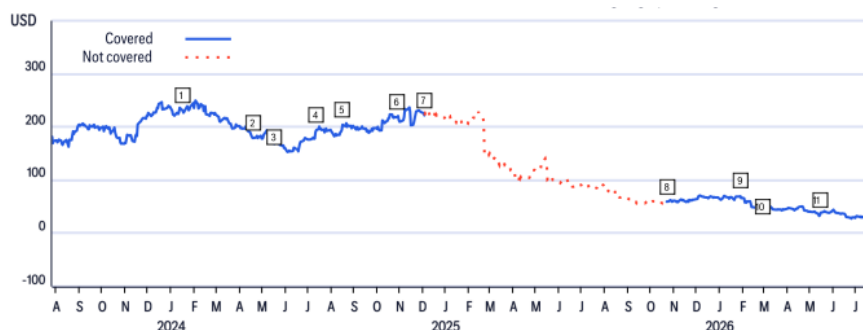
	Date	Rating	Target Price	Closing Price
11	22-Oct-25 16:00:00	*2	*170.00	156.47
12	28-Jan-26 06:16:34	2	*225.00	218.35
13	19-Feb-26 18:50:47	2	*155.00	139.16
14	08-Apr-26 16:00:00	2	*145.00	129.99
15	07-May-26 13:44:33	2	*112.00	104.24

Rating/target price changes above reflect Eastern Time

Globant SA (GLOB)

Ratings and Target Price History
Fundamental Research

Analyst: Bryan Keane



	Date	Rating	Target Price	Closing Price
1	16-Jan-24 18:37:35	1	*275.00	230.67
2	21-Apr-24 19:00:14	1	*235.00	179.29
3	16-May-24 22:15:07	1	*215.00	177.73
4	12-Jul-24 03:27:50	1	*220.00	194.16

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	16-Aug-24 16:49:37	1	*240.00	204.24
6	28-Oct-24 06:49:44	1	*251.00	218.81
7	03-Dec-24 16:09:17	Coverage terminated		
8	22-Oct-25 16:00:00	*2H	*67.00	59.60

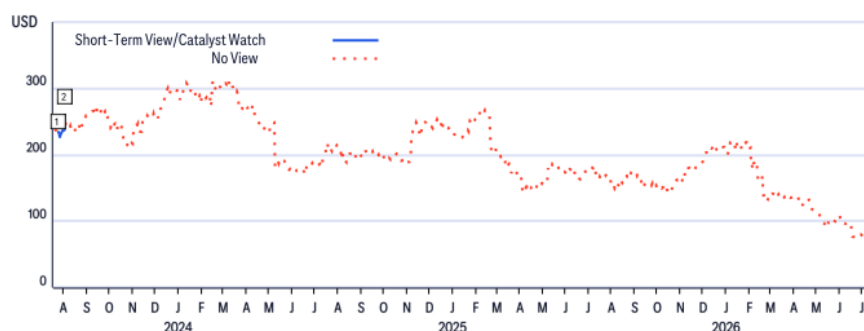
	Date	Rating	Target Price	Closing Price
9	28-Jan-26 06:16:34	2H	*72.00	69.75
10	26-Feb-26 23:27:52	2H	*55.00	46.87
11	14-May-26 23:59:28	2H	*42.00	34.08

Rating/target price changes above reflect Eastern Time

EPAM Systems, Inc. (EPAM)

Short-Term View/Catalyst Watch Research

Analyst: Bryan Keane



	Date	Action	Expected Direction	Duration	Closing Price
1	25-Jul-23 00:58:13	Add CW	Downside	30 Days	234.43

CW - Catalyst Watch, STV - Short-Term View

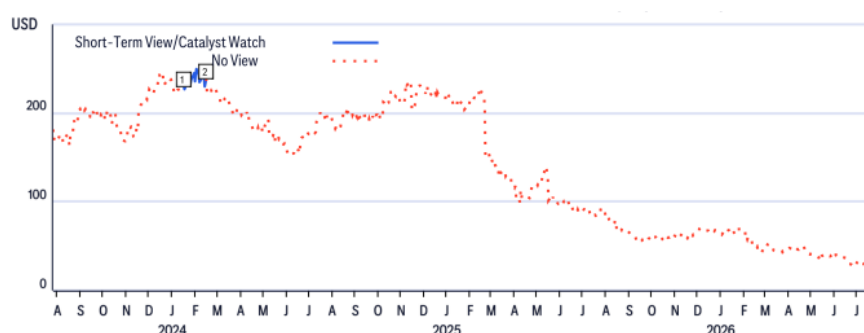
	Date	Action	Expected Direction	Duration	Closing Price
2	03-Aug-23 12:53:57	Remove CW	Downside	30 Days	245.02

Rating/target price changes above reflect Eastern Time

Globant SA (GLOB)

Short-Term View/Catalyst Watch Research

Analyst: Bryan Keane



	Date	Action	Expected Direction	Duration	Closing Price
1	16-Jan-24 13:37:35	Add CW	Upside	90 Days	230.67

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	15-Feb-24 19:04:33	Remove CW	Upside	90 Days	239.11

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Citigroup Global Markets Inc.

Bryan Keane; William Tang; Adam Butler, CFA

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